

Pendal Group Limited

Manager Due Diligence Questionnaire Response Pendal Australian Equities Fund

March 2026

Issued by: Pendal Group Limited

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1. Risk Management Framework

Pendal Group operates a risk management framework aligned with ISO 31000 principles:

Risk Governance

- Board Risk Committee: 3 independent directors, meets quarterly
- Investment Risk Committee: CIO, Head of Risk, Lead PMs -- meets monthly
- Independent Risk team: 6 professionals reporting to CRO (not CIO)

Quantitative Risk Limits

Tracking Error Hard limit: 8% p.a. (target: 3-6%)

Single Stock Active Bet Max +/- 5% vs benchmark

Sector Active Bet Max +/- 10% vs benchmark

Beta Range 0.8 - 1.2

Cash Limit Max 10%

Drawdown triggers: A drawdown exceeding -10% from peak (rolling 12 months) triggers a formal review by the Investment Risk Committee. A drawdown exceeding -15% triggers Board notification and a portfolio de-risking review.

Escalation: Limit breaches are reported to CRO within 2 hours. The PM has 3 business days to rectify. Unrectified breaches are escalated to the Board Risk Committee.

2. Operational Infrastructure

Service Providers

Custodian	JP Morgan Chase Bank N.A. (APRA-regulated)
Fund Administrator	JP Morgan (unit pricing, accounting)
Registry	Link Market Services
External Auditor	Deloitte Touche Tohmatsu

Technology Systems

OMS	Charles River IMS
PMS	FactSet
Risk System	FactSet Multi-Asset Class (MAC)
Compliance	Charles River Compliance (automated)
Reconciliation	IntelliMatch (daily automated)

Audit & Controls

Most recent external audit (30 June 2025): Unqualified opinion by Deloitte. No material findings.

GS007 assurance report obtained annually from JP Morgan covering custody and administration. Most recent (December 2025): No exceptions noted.

Internal audit function conducts annual reviews of key operational processes. Most recent cycle covered trade execution, reconciliation, and unit pricing (all satisfactory).

3. Key Person Risk & Team

Crispin Murray is identified as the key person for this fund. Mitigation measures:

- Formal succession plan: Deputy PM (20 years experience) designated as acting lead in Crispin's absence
- Team-based research: All investment ideas generated by team; no single-analyst reliance
- Documented process: Investment framework and research templates ensure process continuity
- Non-compete: Key personnel subject to 12-month non-compete clauses

Team Stability

Crispin Murray tenure 16 years (at Pendal/BTIM)

Deputy PM tenure 12 years

Average analyst tenure 7.5 years

Team turnover (3yr avg) 10%

No senior departures in the past 3 years. The team has been stable since 2021.

4. Business Continuity & DR

RTO (critical systems)	2 hours
RPO	30 minutes (near-real-time replication)
DR Site	Macquarie Park, Sydney (hot standby)
Remote Trading	All PMs can trade from home (Bloomberg Terminal)

Testing

Full BCP/DR test conducted semi-annually. Most recent test (October 2025): Successfully executed full trading day from DR site. All systems operational within 1.5 hours (within RTO of 2 hours).

COVID-era validation: Team operated remotely March 2020 - December 2021 with zero trading disruptions. This experience led to permanent investment in remote infrastructure.

BCP reviewed annually by the Board. Last update: August 2025.

5. Compliance & Regulatory

AFSL 228504 is current with no conditions or restrictions beyond standard authorisations.

- Compliance team: 8 professionals, CCO reports to Board
- Annual compliance plan (last approved: January 2026)
- Automated pre/post-trade compliance monitoring via Charles River
- Breach register: 2 minor breaches in past 3 years (both operational, self-identified, no client impact)
- No ASIC enforceable undertakings or regulatory actions in past 10 years
- AFCA member (number: 10876)

Regulatory reporting: All ASIC and APRA reporting obligations met on time. Regular ASIC surveillance visits received (last: March 2025, no adverse findings).

6. Conflicts of Interest

Related Party Transactions

Pendal has no affiliated broker-dealer, custodian, or administrator. All service providers are independent. The fund does not invest in Pendal-managed sub-funds.

Personal Trading

- Pre-clearance required for all trades by investment staff
- 30-day minimum holding period
- Securities under active coverage: trading prohibited
- Quarterly certification and annual disclosure
- Compliance monitoring via automated system

Trade Allocation

Fair allocation policy ensures equitable distribution of IPOs, block trades, and limited opportunities across all Pendal funds. Allocations are documented and reviewed monthly by Compliance. Pro-rata allocation is the default; deviations require documented justification and CCO approval.

Soft Dollars

Pendal does not accept soft dollar commissions. All external research is paid for from the firm's P&L. Brokerage is allocated solely on best execution criteria.

7. Business Viability

Pendal Group Revenue (FY2025)	AUD 312 million
Net Profit (FY2025)	AUD 67 million
Total AUM (Dec 2025)	AUD 28.4 billion
3-Year AUM CAGR	+2.8%
Dividend Payout	70% of earnings

AUM Trend

Dec 2023	AUD 26.1 billion
Dec 2024	AUD 27.2 billion
Dec 2025	AUD 28.4 billion

Staff & Retention

Total employees	285
Investment professionals	62
Voluntary turnover (2025)	14%
Average tenure (investment)	9.2 years

Pendal is well-capitalised with no debt and maintains regulatory capital well above ASIC requirements. The firm's diversified asset class coverage and international expansion provide revenue stability. No wind-down indicators are present.

8. Technology & Cyber Security

Pendal's technology framework:

- ISO 27001 certified ISMS
- Annual penetration testing (CrowdStrike, last: September 2025, no critical findings)
- SOC 2 Type II report on internal technology controls
- MFA on all systems, privileged access management
- 24/7 security monitoring via managed SOC
- Monthly phishing simulations (click rate <3%)

9. Proxy Voting & Stewardship

Pendal exercises voting rights on all equity holdings:

Resolutions voted (FY2025) 100% of eligible

Votes against management 18%

Companies engaged 45

Key engagement themes: climate disclosure, board diversity, executive remuneration alignment, modern slavery supply chain.

Voting records are published quarterly on the Pendal website.

10. Liquidity Management

The fund invests primarily in ASX 300 stocks with high liquidity:

- 92% of portfolio in ASX 300 stocks (typically 5+ day liquidity)
- 8% in smaller companies with adequate but lower liquidity
- No unlisted or illiquid investments
- Liquidity stress testing conducted quarterly
- Large redemption protocol: redemptions >5% of fund trigger PM notification

11. Counterparty Risk

Minimal counterparty risk given the fund's direct equity investment approach:

- No OTC derivatives
- Exchange-traded futures (if used) cleared via ASX Clear
- Custodian credit risk managed through APRA regulation of JP Morgan
- Securities lending: Not conducted

12. Insurance

Pendal maintains comprehensive insurance coverage:

- Professional Indemnity: AUD 100 million (Lloyds of London)
- Directors & Officers: AUD 50 million
- Crime/Fidelity: AUD 30 million
- Cyber Insurance: AUD 20 million

13. Appendix

Organisation Structure:

Board of Directors -> CEO -> CIO (Equities, Fixed Income, Multi-Asset)

Crispin Murray reports to: CIO

Independent functions: CRO, CCO, Internal Audit -- all report to Board